

The Electoral Bond Scheme, 2018

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Union of India - Act

The Electoral Bond Scheme, 2018

UNION OF INDIA

India

The Electoral Bond Scheme, 2018

Rule THE-ELECTORAL-BOND-SCHEME-2018 of 2018

Published on 2 January 2018

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The Electoral Bond Scheme, 2018

Published vide Notification No. S.O. 29(E), dated 2.1.2018

S.O. 29(E). - In exercise of the powers conferred by sub-section (3) of Section 31 of the Reserve Bank of India Act, 1934

(

2 of 1934

), the Central Government hereby makes the following Scheme, namely:-

1.

Short title and commencement.

(1)

This scheme may be called the Electoral Bond Scheme, 2018.

(2)

It shall come into force on the date of its publication in the Official Gazette.

2.

Definition.

- In this Scheme, unless the context otherwise requires, --

(a)

"electoral bond" means a bond issued in the nature of promissory note which shall be a bearer banking instrument and shall not carry the name of the buyer or payee;

(b)

"authorised bank" means the State Bank of India authorised to issue and encash the bonds in the branches specified in Annexure I to this notification;

(c)

"issuing branch" means a designated branch of the authorised bank specified in Annexure I for issuing electoral bonds;

(d)

"person" includes-

(i)

an individual;

(ii)

a Hindu undivided family;

(iii)

a company;

(iv)

a firm;

(v)

an association of persons or a body of individuals, whether incorporated or not;

(vi)

every artificial juridical person, not falling within any of the preceding sub-clauses; and

(vii)

any agency, office or branch owned or controlled by such person.

3.

Eligibility for purchase and encashment of electoral bond.

(1)

The Bond under this Scheme may be purchased by a person, who is a citizen of India or incorporated or established in India.

(2)

A person being an individual can buy bonds, either singly or jointly with other individuals.

(3)

Only the political parties registered under section 29A of the Representation of the People Act, 1951 (43 of 1951

) and secured not less than one per cent of the votes polled in the last general election to the House of the People or the Legislative Assembly, as the case may be, shall be eligible to receive the bond.

(4)

The bond shall be encashed by an eligible political party only through a bank account with the authorised bank.

4.

Applicability of Know Your Customer Norms.

(1)

The extant instructions issued by the Reserve Bank of India regarding Know Your Customer norms of a bank's customer shall apply for buyers of the bonds.

(2)

The authorised bank may call for any additional Know Your Customer documents, if it deems necessary.

5.

Denomination.

- The bonds shall be issued in the denomination of Rs. 1000, Rs. 10,000, Rs. 1,00,000, Rs. 10,00,000 and Rs. 1,00,00,000.

6.

Validity of Bond.

(1)

The bond shall be valid for fifteen days from the date of issue and no payment shall be made to any payee political party if the bond is deposited after expiry of the validity period.

(2)

The bond deposited by any political party to its account shall be credited on the same day.

7.

Procedure for making application for purchase of bonds.

(1)

Every buyer desirous of purchasing bond can apply with a physical or through online application in the format specified in Annexure II to this notification.

(2)

Every application shall contain particulars as per the format in Annexure-II and shall be accompanied with the specified documents.

(3)

On receipt of an application, the issuing branch shall issue the requisite bond, if all the requirements are fulfilled.

(4)

The information furnished by the buyer shall be treated confidential by the authorised bank and shall not be disclosed to any authority for any purposes, except when demanded by a competent court or upon registration of criminal case by any law enforcement agency.

(5)

A non-Know Your Customer compliant application or an application not meeting the requirements of the scheme shall be rejected.

(6)

The bond shall be issued to the buyer on non-refundable basis.

8.

Periodicity of issue of bonds.

(1)

The bonds under this Scheme shall be available for purchase by any person for a period of ten days each in the months of January, April, July and October as may be specified by the Central Government.

(2)

An additional period of thirty days shall be specified by the Central Government in the year of general elections to the House of People.

9.

Interest.

- No interest shall be payable on the bond.

10.

Issuing offices and commission payable.

- No commission, brokerage or any other charges for issue of bond shall be payable by the buyer against purchase of the bond.

11.

Payment options.

(1)

All payments for the issuance of the bond shall be accepted in Indian rupees, through demand draft or cheque or through Electronic Clearing System or direct debit to the buyer's account.

(2)

Where payment is made through cheque or demand draft, the same shall be drawn in favour of the issuing bank at the place of issue such bond.

12.

Encashment of the bond.

(1)

The bond can be encashed only by an eligible political party by depositing the same in their designated bank account.

(2)

The amount of bonds not encashed within the validity period of fifteen days shall be deposited by the authorised bank to the Prime Minister Relief Fund.

13.

Tax treatment.

- The face value of the bonds shall be counted as income by way of voluntary contributions received by an eligible political party, for the purpose of exemption from Income-tax under section 13A of the Income tax Act, 1961.

14.

Trading of bonds.

- The bonds shall not be eligible for trading.

Annexure I

Name of Authorised Bank: State Bank of India

[refer clause 2 (b)]

List of Issuing Branches: [refer clause 2 (c)]

S.No.

State

Bcode

Branch Name

1

Andhra Pradesh

952

Visakhapatnam

948

Vijayawada

2

Andaman & Nicobar

156

Port Blair

3

Arunachal Pradesh

6091

Itanagar

4

Assam

78

Guwahati

5

Bihar

152

Patna Main Branch

6

Chandigarh

626

Chandigarh Main Branch

7

Chhatisgarh

461

Raipur
336
Bilaspur
8
Dadar & Nagar Haveli
6586
Silvassa
9
Daman & Diu
514
Daman
10
Delhi
691
New Delhi Main Branch
11
Goa
509
Panaji
12
Gujarat
1355
Gandhi Nagar
301
Ahmedabad
13
Haryana
645
New Colony Gurgaon
14
Himachal Pradesh
718
Shimla
15
Jammu& Kashmir
2295
Badami Bagh Br Srinagar
657
Jammu
16
Jharkhand
167
Ranchi
17
Karnataka
813
Bangalore Main Branch
846
Hubli
18
Kerala

941
Thiruvananthapuram Main
19
Lakshadweep
5080
Kavaratti
20
Madhya Pradesh
1308
Bhopal Main Branch
377
Gwalior Main Branch
21
Maharashtra
300
Mumbai Main Branch
432
Nagpur
454
Pune Main Branch
22
Manipur
92
Imphal
23
Meghalaya
188
Shilong
24
Mizoram
1539
Aizawl
25
Nagaland
214
Kohima
26
Odisha
41
Bhubaneswar
59
Cuttack
27
Puducherry
900
Puducherry
28
Punjab
674
Ludhiana
29

Rajasthan
656
Jaipur Main Branch
659
Jodhpur
30
Sikkim
232
Gangtok
31
Tamilnadu
800
Chennai Main Branch
827
Coimbatore
32
Telangana
916
Secunderabad
5324
Nizamabad
847
Hyderabad Main Branch
33
Tripura
2
Agartala
34
Uttar Pradesh
125
Lucknow
86
Gorakhpur
102
Jhansi
602
Agra Main Branch
35
Uttarakhand
630
Deharadun Main Branch
36
West Bengal
1
Kolkata Main Branch
184
Siligudi
Annexure II
Format Of Application For Issue Of Electoral Bond:
Application Form For Electoral Bonds
_____(Year)

Name Of Issuing Bank:

Name Of Branch:

Date

Mode of Subscription

Cheque/DD

Electronic Transfer

Details Of Cheque/dd/

Dated

Amount In Figures:

Amount In Words:

Denomination & Number Of Electoral Bonds

Required (In Denomination Of Rs. 1000, Rs. 10,000, Rs. 1,00,000, Rs. 10,00,000 And Rs. 1,00,00,000)

Pan No. / Tan No.As Applicable

Applicant Status (As Per Clause 3(A) of The

Notification No Dated)

Individual

HUF

Company

Firm

Charitable Trust

Others

Applicant (S) Details (In Block Letters)

First/ Sole Applicant's Name In Full:

Details Of Identity: (Passport, Aadhaar/voter Id)

Second Applicant's Name In Full:

(Name Of More Applicant's Can Be Added, If Situation So Demands)

Details Of Identity: (Passport, Aadhaar/voter Id)

First / Sole Applicant's Address In Full:

Contact Details :

Phone/ Fax:

Email:

Declaration: I/ We hereby declare and undertake that

(i) The information furnished in the application form is correct in all respects.

(ii) I have read and understood the details of information for the buyer of the Electoral Bonds as well as the rights and duties of the Electoral Bond holder.

Signature

1st Applicant

Signature

2nd Applicant

In Case Of Thumb Impression, Attestation By Two

Witnesses:

1st Witness (Details)

2nd Witness (Details)

HUF Declaration :

I, _____ residing At The Address
Given Against First Applicant, Do Solemnly
Affirm That I Am The Karta Of The Hindu Undivided Family And
As Such Have Full
Powers To Purchase And Other Wise Deal In The Electoral Bonds
Standing In The Name
Of The Huf.
Specimen Signature For And On Behalf Of The Huf (Name Of The
Huf):
Place _____
Date _____
Signature of the Karta
For Office Use
Date of receipt of application
BLA No./ CIF No.
HUF status
(Y/N)
Any other information
Information For Buyers of Electoral Bond:
Item
Electoral Bond
Who can buy
(1) The Bond under
this Scheme may be purchased by a person, who is a citizen of
India or incorporated or established in India.
(2) A person being an individual can buy bonds,
either singly or jointly with other individuals.
Limit of Investment
None
Form of Electoral Bonds
Non-refundable banking instrument, in physical
form
Interest Option
No interest shall be payable
Life of Electoral Bond
To be encashed within fifteen days from date
of issuance.
Tradability
Not tradable.
Loans From Banks Against Security of these
Electoral Bonds
Not permitted.
Application Forms
Available at designated branches of authorised
Banks.
Encashment
Only the political parties registered under
section 29A of the Representation of the People Act, 1951 (43 of
1951) and secured not less than one per cent of the votes polled
in the last general election to the House of the People or the
Legislative Assembly, as the case may be, shall be eligible to

receive the bond.

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